

EVIDENCE ROOM

AP Exception Taxonomy

A shared language for exceptions, owners, and agents

Tier 2 · Professional

Operating Evidence · Not legal, tax, or accounting advice

Exception Taxonomy — AP Agent OS Professional

Product: Evidence Room — AP Agent OS Professional **Artifact:** Controls · Exception Taxonomy **Audience:** Head of AP, Exception Desk, Controllershship, Internal Audit **Version:** 1.0

1. How to use this taxonomy

Every non-straight-through invoice or AP case receives **one primary code** (and optional secondary). Codes drive ownership, SLA, agent routing, KPI mix, and root-cause themes.

Conventions

Automation potential	Realistic agent contribution under controls: Low / Med / High
Risk level	Residual financial/control risk if mishandled: L / M / H
Potential agent	Primary specialised agent(s); A04 always triages

Tune SLAs and materiality locally; do not rename codes casually — version changes via Controllershship + Head of AP.

2. Taxonomy catalogue

2.1 `missing\_po`

Definition	Invoice lacks a required purchase-order reference, or PO field is blank where policy mandates PO.
Probable root cause	Maverick buy; supplier not informed of PO; OCR miss; non-PO path misclassified.
Required data	Invoice; policy (PO-required rules); requester/buyer if known; vendor history.
Suggested resolution	Confirm if non-PO allowed; else obtain PO number from requester/buyer; re-validate; or reject/resubmit.
Responsible party	Requester / Buyer (primary); AP validates policy.
Escalation	Material amount with no owner in 48h → department head; chronic maverick → Procurement compliance.
Potential agent	A02, A04, A09, A06
Automation potential	Med
Risk level	M

2.2 `invalid\_po`

Definition	PO reference present but does not exist, is wrong format, or belongs to another vendor/entity.
Probable root cause	Typo; supplier reused old PO; cross-entity confusion; test PO in production.
Required data	Invoice PO string; ERP PO search results; vendor/entity IDs.
Suggested resolution	Correct PO reference; create/link valid PO via Procurement; return invoice if unmatchable.
Responsible party	Buyer / Procurement Ops
Escalation	High value + no valid PO within SLA → Procurement lead + AP Lead.
Potential agent	A03, A06, A09, A08
Automation potential	Med
Risk level	M

2.3 `po\_closed`

Definition	Referenced PO is closed/cancelled while invoice is still presented for payment.
Probable root cause	Premature PO close; late invoice; partial close without remaining commitment.
Required data	PO status history; invoice date; remaining qty/amount before close.
Suggested resolution	Reopen/amend PO per policy; issue new PO; or credit/cancel invoice if invalid.
Responsible party	Buyer
Escalation	Critical vendor / production risk → Procurement + Operations.
Potential agent	A06, A09, A03
Automation potential	High (detect); Med (resolve)
Risk level	M

2.4 `po\_exhausted`

Definition	PO open but remaining quantity/amount insufficient to cover invoice.
Probable root cause	Blanket undersized; duplicate invoice consuming balance; price creep; extra delivery.

Required data	PO remaining vs invoice qty/amount; prior invoices against PO.
Suggested resolution	Increase PO / new line; split invoice; investigate duplicate consumption (A10).
Responsible party	Buyer
Escalation	Repeated exhaust on same blanket → Category Manager.
Potential agent	A06, A03, A10, A09
Automation potential	High (detect); Med (resolve)
Risk level	M

2.5 `price\_mismatch`

Definition	Invoice price differs from PO (and/or contract) beyond tolerance.
Probable root cause	Contract update not on PO; supplier increase; wrong UoM; freight unexpectedly included.
Required data	Invoice line price; PO price; tolerance table; contract price if any.
Suggested resolution	Amend PO; obtain credit/revised invoice; accept within DOA force-match if approved.
Responsible party	Buyer / Category (commercial); AP applies tolerance.
Escalation	Above commercial DOA → Category Manager; pattern → A15.
Potential agent	A03, A06, A08
Automation potential	High
Risk level	M (H if systemic or high value)

2.6 `quantity\_mismatch`

Definition	Invoice quantity differs from PO remaining and/or received quantity beyond tolerance.
Probable root cause	Partial shipment invoiced in full; over-delivery; UoM conversion error; wrong line.
Required data	Invoice qty; PO qty/remaining; GR qty; UoM.
Suggested resolution	Partial book; wait for GR; credit note; correct line mapping.
Responsible party	Receiver / Buyer; AP matching lead coordinates.

Escalation	Overbill on high-value goods → Procurement + plant manager.
Potential agent	A03, A05, A08
Automation potential	High
Risk level	M

2.7 `missing\_receipt`

Definition	Three-way match required but no goods receipt exists for invoiced quantity.
Probable root cause	GR not posted; delivery not arrived; service misclassified as goods; WMS/ERP lag.
Required data	PO; GR search; delivery note; receiver identity.
Suggested resolution	Post GR with evidence; reclassify service acceptance; return invoice if not delivered.
Responsible party	GR clerk / Receiver
Escalation	Approaching due date / supply halt → Operations supervisor.
Potential agent	A05, A09, A03
Automation potential	High (chase); Low–Med (post GR)
Risk level	M

2.8 `partial\_receipt`

Definition	Receipt exists but covers only part of invoiced quantity.
Probable root cause	Split delivery; over-invoice; GR posted incomplete.
Required data	Cumulative GR vs invoice qty; ASN/DN.
Suggested resolution	Wait/post remaining GR; partial invoice process; credit for undelivered.
Responsible party	Receiver; Supplier for credit (A08)
Escalation	Chronic short-ships → Procurement + Supplier management.
Potential agent	A05, A03, A08
Automation potential	High
Risk level	M

2.9 `duplicate\_invoice`

Definition	Invoice is confirmed as a duplicate of another invoice already recorded and/or paid.
Probable root cause	Supplier re-sent; parallel channels; intentional duplicate submission.
Required data	Both documents; payment status; hash/number match evidence; human disposition.
Suggested resolution	Block/cancel duplicate; notify supplier; recover if paid (treasury/AP process).
Responsible party	AP Controls / AP Processor with Controls review
Escalation	Paid duplicate → Controller + recovery path immediately.
Potential agent	A10, A04, A12 (exclude), A08
Automation potential	High (detect candidates); Med (confirm)
Risk level	H

Note: Confirmation is human (or L3+ only for exact-rule clones per policy). A10 does not guarantee detection of all duplicates.

2.10 `potential\_duplicate`

Definition	Signals suggest possible duplicate (similar number/amount/date/vendor) but not yet confirmed.
Probable root cause	OCR near-miss; legitimate similar billing; progress claims; credit/rebill pairs.
Required data	Candidate pairs; feature explanation; payment status.
Suggested resolution	Investigate pack; confirm duplicate or false positive; hold payment until disposition.
Responsible party	AP Processor; Controls on critical scores
Escalation	Critical score + material amount → Controls Lead same day.
Potential agent	A10, A12, A04
Automation potential	High
Risk level	H (until cleared)

2.11 `wrong\_supplier`

Definition	Invoice supplier identity does not correctly match the trading/remit vendor that should be paid (or PO vendor).

Probable root cause	Factoring; group entity confusion; soft-match error; fraudulent letterhead (investigate; don't assume).
Required data	Invoice identity fields; vendor master; PO vendor; remittance advice history.
Suggested resolution	Remap to correct vendor with evidence; reject; master-data update via stewardship.
Responsible party	AP + Master Data Steward
Escalation	Remit party change / factoring → enhanced verification; never silent bank change.
Potential agent	A02, A08, A10
Automation potential	Med
Risk level	H

2.12 `incorrect\_legal\_entity`

Definition	Invoice billed to / parked under the wrong legal entity in a multi-entity group.
Probable root cause	Shared mailbox misroute; supplier wrong bill-to; PO on wrong company code.
Required data	Bill-to details; PO company; tax registrations; intercompany policy.
Suggested resolution	Repost to correct entity; credit/rebill; fix PO entity.
Responsible party	AP entity lead; Buyer if PO wrong
Escalation	Tax exposure / statutory books impact → Tax + Controller.
Potential agent	A01, A02, A06, A09
Automation potential	Med
Risk level	H

2.13 `tax\_issue`

Definition	VAT/GST/sales tax amount, rate, code, or registration treatment is inconsistent with policy or law tables.
Probable root cause	Wrong tax code; reverse charge missed; supplier tax ID invalid; rounding; exempt misapplied.
Required data	Tax lines; entity tax setup; supplier tax IDs; jurisdiction rules.
Suggested resolution	Correct coding; request revised invoice; Tax review.
Responsible party	Tax Accountant (decision); AP prepares

Escalation	Material or cross-border → Tax Lead / Advisor.
Potential agent	A02, A08
Automation potential	Med
Risk level	H

2.14 `approval\_missing`

Definition	Required approval is not completed (pending, never started, or workflow stuck).
Probable root cause	Approver OOO; wrong routing; workflow technical fail; ignored tasks.
Required data	DOA rule; workflow status; approver directory.
Suggested resolution	Remind/escalate; fix routing; registered delegate; restart workflow idempotently.
Responsible party	Approver; AP Workflow monitors
Escalation	Past escalation SLA → next DOA tier / Controller desk.
Potential agent	A07, A09
Automation potential	High
Risk level	M

2.15 `doa\_issue`

Definition	Approval path conflicts with Delegation of Authority (wrong person, insufficient authority, self-approval, vacant band).
Probable root cause	Stale DOA matrix; coding games; role vacancy; system misconfig.
Required data	DOA version; amount; coding; approver roles; audit of who approved.
Suggested resolution	Re-route to correct authority; invalidate improper approval; Controllershship fix matrix.
Responsible party	Controllershship (policy); AP Workflow (execution)
Escalation	Any self-approval or over-limit approval → Controller immediately.
Potential agent	A07, A04
Automation potential	Med
Risk level	H

2.16 `coding\_missing`

Definition	Cost allocation / GL / dimension coding required for posting is absent.
Probable root cause	Non-PO without default; requester didn't code; intake skipped coding step.
Required data	Invoice purpose; requester; coding guide; prior similar invoices.
Suggested resolution	Obtain coding from requester; apply defaults if policy allows with review.
Responsible party	Requester / Cost centre owner
Escalation	Close deadline → department controller.
Potential agent	A02, A09
Automation potential	Med
Risk level	L–M

2.17 `invalid\_cost\_centre`

Definition	Provided cost centre / dimension is closed, unknown, not allowed for account, or not permitted for requester.
Probable root cause	Reorg; typo; expired project; policy restriction.
Required data	Dimension master; validation rules; substitute CC policy.
Suggested resolution	Correct dimension; map to successor CC with approval.
Responsible party	Cost centre owner / Finance BP
Escalation	Posting to suspense aging → Financial Control.
Potential agent	A02, A09
Automation potential	High (detect); Med (resolve)
Risk level	M

2.18 `invoice\_quality`

Definition	Invoice document fails quality standards: arithmetic, missing legal fields, illegible amounts, mixed documents, inconsistent headers/lines.
Probable root cause	Supplier process; bad PDF; multi-invoice pack; currency format issues.
Required data	Original file; extraction; validation scorecard.

Suggested resolution	Request revised invoice; manual key with dual review; split pack.
Responsible party	Supplier (via A08); AP for processing standards
Escalation	Chronic poor quality vendor → Procurement + AP Lead.
Potential agent	A02, A01, A08
Automation potential	Med
Risk level	M

2.19 `ocr\_extraction\_issue`

Definition	Capture/OCR/XML parse failed or low-confidence on critical fields.
Probable root cause	Image quality; unknown layout; parser outage; non-standard e-invoice.
Required data	Raw file; confidence vector; parser logs.
Suggested resolution	Re-OCR; manual extract; request better file; fix parser mapping.
Responsible party	AP Intake; AP Systems for tooling
Escalation	Channel-wide parser failure → IT + AP Supervisor (incident).
Potential agent	A01, A02
Automation potential	Med
Risk level	L–M

2.20 `master\_data\_issue`

Definition	Vendor/entity/tax/payment method master data is missing, duplicate, incomplete, or conflicting such that processing cannot safely continue.
Probable root cause	Onboarding gap; duplicate vendors; stale contacts; blocked status unclear.
Required data	Vendor master record(s); duplicate candidates; block reasons.
Suggested resolution	Stewardship cleanse; merge duplicates; complete mandatory fields; document blocks.
Responsible party	Master Data Steward
Escalation	Payment-critical master gap → Head of AP + Stewardship lead.
Potential agent	A02, A08 (refer), A04

Automation potential	Low–Med
Risk level	H

2.21 `banking\_change\_concern`

Definition	Signal that supplier payment destination / bank details may be changing or were requested to change (email, invoice footer, portal message).
Probable root cause	Legitimate bank change; factoring; social-engineering attempt.
Required data	Message artifacts; current masked bank tokens; verification procedure evidence.
Suggested resolution	Stop auto-processing. Enhanced out-of-band verification by Master Data / Treasury; never update from email alone.
Responsible party	Master Data Steward + Treasury; AP Controls oversight
Escalation	Immediate to Stewardship/Treasury; security if suspected compromise.
Potential agent	A08 (detect/refer only), A10, A12 (hold)
Automation potential	Med (detect); Low (approve change)
Risk level	H

2.22 `credit\_note\_required`

Definition	Resolution path requires a supplier credit note (price/qty/returns/duplicate billing) not yet received.
Probable root cause	Agreed commercial correction; returns; overbilling acknowledged.
Required data	Agreement evidence; original invoice; expected credit amount.
Suggested resolution	Request CN via A08; park/short-pay only if policy allows; match CN on receipt.
Responsible party	Buyer/AP query lead; Supplier issues CN
Escalation	CN overdue past SLA + material → Procurement commercial.
Potential agent	A08, A04, A03
Automation potential	Med
Risk level	M

2.23 `statement\_discrepancy`

Definition	Supplier statement line does not reconcile to AP open items / payments (missing either side or amount break).
Probable root cause	Missing invoice intake; unapplied credit; timing; wrong account; factoring statement.
Required data	Statement; ERP extract; prior workpaper.
Suggested resolution	Intake missing invoices; apply credits; query supplier; document timing differences.
Responsible party	AP Reconciliation Lead
Escalation	Material break near payment run → Payments Lead + Controller.
Potential agent	A11, A08, A10, A01
Automation potential	High (match); Med (clear)
Risk level	M–H

2.24 `payment\_hold`

Definition	Invoice is intentionally blocked from payment proposal for control, commercial, or compliance reasons.
Probable root cause	Active dispute; duplicate investigation; vendor block; legal hold; missing docs.
Required data	Hold reason code; owner; review date; linked cases.
Suggested resolution	Resolve underlying case; human release hold per policy; never agent self-release high-risk holds without gate.
Responsible party	Hold owner (Controls/AP/Legal as coded)
Escalation	Aged holds > policy → Head of AP weekly.
Potential agent	A12, A04, A10
Automation potential	High (apply recommend); Low (release)
Risk level	H if wrongly released

2.25 `disputed\_invoice`

Definition	Formal or informal dispute exists over liability, performance, quality, or amount.
Probable root cause	Service failure; contract disagreement; goods quality; billing error contested.

Required data	Dispute notes; contract; goods/service evidence; parties.
Suggested resolution	Commercial/Legal path; keep payment hold; document settlement.
Responsible party	Buyer / Commercial; Legal if formal
Escalation	Litigation threat / critical supplier → Legal + Procurement exec.
Potential agent	A04, A08, A09, A12
Automation potential	Low
Risk level	H

2.26 `aged\_unresolved\_item`

Definition	Exception or open item exceeded aging thresholds (e.g., 30/60/90 days) without resolution.
Probable root cause	Owner abandonment; deadlock; waiting external indefinitely; lost in queue.
Required data	Age; prior codes; owner history; value.
Suggested resolution	Management review; reassign; decide write-off/settlement/path; close or reclassify.
Responsible party	AP Exception Desk Lead; original owner accountable
Escalation	Auto-escalate each aging bucket per policy to Head of AP.
Potential agent	A04, A16, A14, A15
Automation potential	High (detect/escalate); Low (final decide)
Risk level	M–H

2.27 `system\_interface\_error`

Definition	Processing blocked by system, API, connector, workflow, or data-interface failure rather than business disagreement.
Probable root cause	Auth expiry; timeout; schema change; RPA break; environment mismatch.
Required data	Error logs; request IDs; last success; affected population.
Suggested resolution	Incident management; fail closed on financial writes; replay only with idempotency; communicate backlog.

Responsible party	AP Systems / IT; AP Supervisor for business continuity
Escalation	Payment-run or close impact → IT major incident + Head of AP.
Potential agent	A16, A01, affected specialist
Automation potential	Med (detect/alert); Low (fix root infra)
Risk level	H (during incident)

3. Routing quick reference

missing_po / invalid_po / po_closed / po_exhausted	Buyer via A06/A09	2–5 days
price_mismatch / quantity_mismatch	Buyer + A03/A08	2–5 days
missing_receipt / partial_receipt	Receiver via A05/A09	1–3 days
duplicate_invoice / potential_duplicate	Controls + A10	Same day if material
wrong_supplier / master_data_issue / banking_change_concern	Master Data + Controls	Same day for banking
incorrect_legal_entity / tax_issue	AP entity + Tax	2–5 days
approval_missing / doa_issue	Approver + A07 / Controller	1–3 days
coding_missing / invalid_cost_centre	Requester + A09	2–3 days
invoice_quality / ocr_extraction_issue	Intake + A08	2–5 days
credit_note_required	A08 + Buyer	5–10 days
statement_discrepancy	A11	Per statement cycle
payment_hold / disputed_invoice	Hold owner / Commercial	Review weekly
aged_unresolved_item	Exception Desk + A16	Immediate management
system_interface_error	IT + A16	Incident SLA

4. Control notes

- No silent resolution** — every closure needs resolution code + evidence link.
- Secondary codes allowed** — e.g., `price\_mismatch` + `credit\_note\_required`.
- Banking_change_concern always human** for master update.
- Duplicate codes** — A10 outputs are candidates until disposition.
- Versioning** — publish taxonomy version ID on every exception record.

5. Related artifacts

- `Agent\_Library/00\_AGENT\_STACK\_OVERVIEW.md`
 - `Agent\_Library/A04\_Exception\_Triage.md`
 - `Agent\_Library/RESPONSIBILITY\_MODEL.md`
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Evidence Room — classify once, own clearly, age visibly, resolve with evidence.